

Notes

This slide summarises the «Strategy and investment» area of SEVEN-G. It answers two questions from management: where to invest in AI and how much risk to accept. The answer is not a project plan. It is a board decision that then orders everything else.

The decision is taken in the Direction stage (C2) of the corporate cycle. It comes after the Diagnosis (C1), which provides the inventory, maturity, the current sphere map and today's value and cost. In the first implementation, C2 takes place within the first ninety days. After that it is reviewed every year, after the Review (C5), or earlier if there is a trigger: a relevant regulatory change, a metric in red for two consecutive quarters or a change in the strategic plan.

The six blocks on the slide are the pieces of that decision and of its delivery:

- The AI thesis. It takes two to four pages and can be read in ten minutes. It says why AI matters, for what purpose, where the company plays, what it will not do, what happens to people and how it will know it is working. Why it matters: without renunciations, the thesis cannot be used to say no.
- The ambition per sphere. For each value and enabling sphere, the board sets the priority, target ambition, horizon, a main indicator and an owner from senior management. The levels are not a ladder: Optimise is not worse than Transform. They are bets with different cost, risk, timescale and resistance.
- The risk appetite. It is declared in ten categories (strategic, technical, data, economic, legal, organisational, reputational, generative AI and agents, security and third parties). Each metric has an amber value, which requires a plan from the AI Committee, and a red limit, which requires immediate action and escalation.
- The framework budget. The board authorises an annual amount in seven envelopes: Optimise, Augment, staged Transform, enablement, committed recurring cost, adoption and training, and contingency. In this way a transformation bet does not compete with the immediate return of an optimisation.

- The staged portfolio. The AI Committee prioritises in the Portfolio stage (C3) with six criteria. Money is released in tranches after each gate: nobody receives the full budget on entry.
- The impact map. It crosses spheres and ambition levels. On the board dashboard it flags where there is a gap against the set ambition and where there is off-thesis investment.

Why it matters for decisions: the board does not decide on models or platforms. It decides on risk, opportunity, advantage and accountability. This area gives it the limits and criteria with which the rest of the framework decides each use case.

Example, with fictitious data from the site: in the example map in document 10, 75% of the investment is in Optimise and 40% in Operations. Data and Knowledge have an Augment target with no use case delivering it. The map flags it as a gap.

Question for the classroom: if your company declared three priority spheres today, which would they be and what would it give up?

TERMS ON THIS SLIDE

- **Board of directors**: The company's highest body. In SEVEN-G it approves the AI thesis and risk appetite (C2), Transform bets and their scaling, and oversees AI every quarter. AI is a strategic asset: its big decisions are not only for technology. The link opens its role in the governance model (document 30). https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/30_SEVEN-G_Modelo_de_gobierno.html#3-1-board-of-directors
- **Direction stage** (C2): The second stage of the corporate cycle. The board approves the AI thesis (what the company wants AI for), the ambition per sphere, the risk appetite, the budget envelope and the thresholds the whole framework will use. It is the decision that gives meaning to the rest: without it, each use case is approved on its own criteria. The link opens how that decision is taken in document 13. https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/13_SEVEN-G_Tesis_de_IA_ambicion_y_apetito_de_riesgo.html#the-c2-decision-as-a-whole
- **Impact map** (T16): Component A of SEVEN-G: where and with what ambition AI acts. It is read as a grid of the portfolio, with the spheres in rows and Optimise, Augment and Transform in columns. Each cell shows use cases, investment, cost and value, and flags the gap against the ambition the board approved. It answers «where is the impact?». In the example board dashboard, look for the «Where the impact is» card (fictitious data, interface in Spanish). https://seachad.github.io/AI_CONSULTING/SEVEN-G/herramientas/T17_panel_consejo/ejemplo/salida/t01_Dashboard_Casos_Uso_IA_v8.html
- **Ambition levels**: Three levels stating how much a company wants to change with each use case: Optimise (do the same better), Augment (extend what people can do) and Transform (change the business). Each level is decided, funded and measured differently. The link opens the SPHERES document that explains them with examples. https://seachad.github.io/AI_CONSULTING/SPHERES/html/en/01_SPHERES_Niveles_de_ambicion.html
- **Optimise**: The first ambition level: AI makes what the company already does cheaper or faster, without changing the process. Its value is measured in savings and time and must be shown early. It is the most frequent level and the one that transforms least. The link opens its explanation in the spheres methodology. https://seachad.github.io/AI_CONSULTING/SPHERES/html/en/01_SPHERES_Niveles_de_ambicion.html#optimise
- **Augment**: The second ambition level: AI extends what people can do, with better decisions, higher quality or new capabilities in the process. Its value combines efficiency and better results. It requires changing how work is done, not just installing a tool. The link opens its explanation in the spheres methodology. https://seachad.github.io/AI_CONSULTING/SPHERES/html/en/01_SPHERES_Niveles_de_ambicion.html#augment
- **Transform**: The third ambition level: AI changes the business model, the product or the way of competing. Its value takes longer and is more uncertain, so it is funded in stages and approved by the board (at the hypothesis gate and when scaling). The quick-return criteria of Optimise are not applied to it. The link opens its explanation in the spheres methodology. https://seachad.github.io/AI_CONSULTING/SPHERES/html/en/01_SPHERES_Niveles_de_ambicion.html#transform
- **AI committee**: A management body that decides the portfolio and the gates at its level, allocates budget and escalates to the board what belongs there. It brings together business, technology, finance and risk, and follows

rules of procedure (P38). It matters because it turns scattered decisions into a single portfolio. The link opens its role in the governance model (document 30). https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/30_SEVEN-G_Modelo_de_gobierno.html#3-3-ai-committee

- **Board dashboard** (T17): A supervision dashboard generated from the use case register. It shows the board cost, validated versus declared value, the funnel, risks, incidents, adoption, maturity and what holds back scaling, with a «?» help on each card. It is for deciding, not just for informing. The link opens the example dashboard with fictitious data; the interface is in Spanish and the help texts are in both languages. https://seachad.github.io/AI_CONSULTING/SEVEN-G/herramientas/T17_panel_consejo/ejemplo/salida/t01_Dashboard_Casos_Uso_IA_v8.html
- **The nine spheres** (esferas 01–09): Nine areas where AI acts in a company: four where value is created (01 to 04), three enablers that make it possible (05 to 07), the limits of regulation and ethics (08) and the governance of AI itself (09). Each use case sits in one primary sphere. The link opens the overview in SPHERES. https://seachad.github.io/AI_CONSULTING/SPHERES/html/en/00_SPHERES_Que_es_y_para_que_sirve.html#the-nine-spheres-at-a-glance

SOURCES AND LINKS

- **AI thesis, ambition and risk appetite (document 13)** https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/13_SEVEN-G_Tesis_de_IA_ambicion_y_apetito_de_riesgo.html
- **Map of spheres and ambition levels (document 10)** https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/10_SEVEN-G_Mapa_de_esferas_y_niveles_de_ambicion.html
- **Portfolio management (document 14)** https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/14_SEVEN-G_Gestion_de_cartera.html
- **SEVEN-G glossary (document 02)** https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/02_SEVEN-G_Glosario_y_convenciones.html#glossary-of-framework-terms
- **Strategy and investment area page** https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/areas/estrategia.html
- **Area page** https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/areas/estrategia.html
- **AI thesis, ambition and risk appetite** https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/13_SEVEN-G_Tesis_de_IA_ambicion_y_apetito_de_riesgo.html
- **Template: AI thesis and risk appetite** https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/plantillas/P35_SEVEN-G_Tesis_de_IA_y_apetito_de_riesgo.html

LEGAL NOTICE

Legal notice: a generic, free methodological aid provided "as is" for information purposes; it is not legal advice and has not been legally reviewed for any case. Each organisation adapts it and is responsible for its legal review and its regulatory compliance; it may not reflect recent regulatory changes. To the fullest extent permitted by law, the author accepts no liability whatsoever for the effects of its application. It does not grant certification of any kind. Details in document 93.

CC BY 4.0 (content) · MIT (code) · Fernando García Varela · seachad.github.io/AI_CONSULTING/